ANNUAL OPERATING BUDGET

Ashford Data Center | Grand Rapids, MI

Property	Ashford Data Center
Fiscal Year	2019
Submitted By	Lumen Residential Services
Submitted	June 5, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$902,684	$916,904	$966,492	$63,809	7.1%	$33,327.32
5010 Loss to Lease	$1,323,715	$1,412,563	$1,415,365	$91,650	6.9%	$48,805.69
5020 Vacancy Loss	$1,098,247	$1,044,042	$1,089,188	-$9,059	-0.8%	$37,558.21
5030 Concessions	$1,799,649	$1,684,477	$1,702,209	-$97,441	-5.4%	$58,696.85
5040 Bad Debt	$2,373,125	$2,453,890	$2,528,990	$155,865	6.6%	$87,206.55
5050 Late Fees	$1,653,665	$1,577,490	$1,602,587	-$51,077	-3.1%	$55,261.64
5060 Utility Reimbursements	$1,426,517	$1,328,451	$1,329,812	-$96,704	-6.8%	$45,855.60
5070 Parking Income	$503,523	$506,996	$510,836	$7,312	1.5%	$17,615.03
5080 Application Fees	$892,327	$886,039	$903,797	$11,470	1.3%	$31,165.40
5090 Pet Rent	$906,449	$849,016	$879,975	-$26,474	-2.9%	$30,343.96
5100 Laundry Income	$1,710,625	$1,664,641	$1,708,217	-$2,408	-0.1%	$58,904.04
5110 Cable/Internet Revenue	$2,481,250	$2,490,060	$2,515,879	$34,629	1.4%	$86,754.45
5120 CAM Reimbursements	$270,256	$288,010	$291,621	$21,366	7.9%	$10,055.91
5130 Tax Reimbursements	$880,294	$831,462	$852,439	-$27,855	-3.2%	$29,394.43
5140 Insurance Reimbursements	$1,149,784	$1,204,771	$1,214,142	$64,358	5.6%	$41,866.98
5150 Percentage Rent	$1,628,820	$1,657,973	$1,686,893	$58,073	3.6%	$58,168.71
5160 Misc. Income	$529,984	$558,986	$580,633	$50,650	9.6%	$20,021.84
5170 Payroll - Management	$1,987,360	$1,916,324	$2,005,476	$18,116	0.9%	$69,154.35
5180 Payroll - Leasing	$1,277,527	$1,328,359	$1,398,365	$120,838	9.5%	$48,219.50
5190 Payroll - Maintenance	$785,829	$797,767	$807,679	$21,850	2.8%	$27,851.01
5200 Payroll Taxes & Benefits	$1,205,050	$1,256,429	$1,322,318	$117,269	9.7%	$45,597.19
5210 Repairs - Plumbing	$2,442,414	$2,280,465	$2,393,467	-$48,947	-2.0%	$82,533.36
5220 Repairs - HVAC	$841,047	$833,014	$859,704	$18,657	2.2%	$29,644.97

Report generated 06/05/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$1,690,448	$1,612,936	$1,672,955	-$17,494	-1.0%	$57,688.09
5410 Resident Events	$223,748	$213,006	$222,079	-$1,669	-0.7%	$7,657.90
5420 Office Supplies	$1,383,121	$1,457,863	$1,505,635	$122,514	8.9%	$51,918.44
5430 Legal & Professional	$1,273,076	$1,303,075	$1,305,720	$32,644	2.6%	$45,024.83
5440 Accounting & Audit	$623,241	$615,102	$648,303	$25,062	4.0%	$22,355.26
5450 Licenses & Permits	$1,881,915	$2,031,856	$2,044,632	$162,717	8.6%	$70,504.54
5460 Management Fee	$574,535	$591,900	$619,631	$45,096	7.8%	$21,366.58
5470 Property Insurance	$1,588,158	$1,543,128	$1,633,744	$45,586	2.9%	$56,335.99
5480 Real Estate Taxes	$1,087,651	$1,014,340	$1,029,874	-$57,777	-5.3%	$35,512.91
5490 Asset Management Fee	$320,961	$331,876	$341,556	$20,595	6.4%	$11,777.78
5500 Replacement Reserves	$484,034	$481,040	$502,834	$18,799	3.9%	$17,339.10
5510 Roof Repairs	$1,392,506	$1,331,401	$1,389,747	-$2,758	-0.2%	$47,922.32
5520 Parking Lot Repairs	$616,856	$634,074	$647,089	$30,233	4.9%	$22,313.40
5530 Signage	$1,779,395	$1,874,054	$1,940,101	$160,706	9.0%	$66,900.03
5540 Tenant Improvements	$1,034,603	$1,029,028	$1,071,633	$37,030	3.6%	$36,952.85
5550 Leasing Commissions	$2,170,687	$2,226,155	$2,328,476	$157,789	7.3%	$80,292.28
5000 Gross Potential Rent	$123,357	$132,896	$137,722	$14,364	11.6%	$4,749.03
5010 Loss to Lease	$902,944	$962,716	$965,298	$62,353	6.9%	$33,286.12
5020 Vacancy Loss	$284,054	$294,855	$312,647	$28,594	10.1%	$10,780.95
5030 Concessions	$1,950,717	$1,951,802	$1,993,966	$43,248	2.2%	$68,757.45
5040 Bad Debt	$879,364	$903,610	$914,334	$34,970	4.0%	$31,528.75
5050 Late Fees	$1,301,906	$1,359,244	$1,430,792	$128,886	9.9%	$49,337.66
5060 Utility Reimbursements	$1,022,767	$1,036,242	$1,074,145	$51,379	5.0%	$37,039.50
5070 Parking Income	$2,600,390	$2,634,492	$2,651,316	$50,926	2.0%	$91,424.70
5080 Application Fees	$714,087	$713,287	$729,640	$15,553	2.2%	$25,160.00
5090 Pet Rent	$1,177,251	$1,205,699	$1,242,478	$65,226	5.5%	$42,844.06
5100 Laundry Income	$2,121,540	$1,961,206	$2,024,518	-$97,023	-4.6%	$69,810.96
5110 Cable/Internet Revenue	$566,165	$524,414	$527,777	-$38,388	-6.8%	$18,199.20
5120 CAM Reimbursements	$1,664,190	$1,643,424	$1,680,360	$16,171	1.0%	$57,943.46
5130 Tax Reimbursements	$2,060,437	$1,908,583	$1,932,310	-$128,127	-6.2%	$66,631.39
5140 Insurance Reimbursements	$1,762,443	$1,779,100	$1,813,963	$51,520	2.9%	$62,550.45
5150 Percentage Rent	$2,371,467	$2,286,528	$2,385,057	$13,589	0.6%	$82,243.33
5160 Misc. Income	$2,333,555	$2,226,201	$2,258,246	-$75,309	-3.2%	$77,870.55
5170 Payroll - Management	$2,584,633	$2,422,740	$2,434,731	-$149,902	-5.8%	$83,956.24
5180 Payroll - Leasing	$558,971	$600,156	$636,162	$77,191	13.8%	$21,936.62
5190 Payroll - Maintenance	$876,930	$885,141	$927,693	$50,763	5.8%	$31,989.41
5200 Payroll Taxes & Benefits	$941,815	$987,443	$988,965	$47,150	5.0%	$34,102.25
5210 Repairs - Plumbing	$1,611,681	$1,570,123	$1,600,192	-$11,489	-0.7%	$55,179.04
5220 Repairs - HVAC	$1,739,194	$1,802,350	$1,921,565	$182,372	10.5%	$66,260.87
5230 Repairs - Electrical	$2,028,702	$1,963,392	$2,086,416	$57,714	2.8%	$71,945.40

Report generated 06/05/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 16 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 5.96% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.06x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $226,000, representing a 12.4% increase over the prior year.

The going-in capitalization rate of 6.23% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $263,000, representing a 13.3% increase over the prior year. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Service requests are tracked through a work-order system with an average completion time of 33 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Collections for the period were 91.6% of billed charges, with bad debt of 4.6% of gross potential income.

Valuation Discussion

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Operating expenses totaled $87,000 or approximately 38.36 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The going-in capitalization rate of 6.02% reflects the in-place income and the stabilized occupancy assumption.

The facility is a purpose-built data center with 24 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $131,000 or approximately 21.52 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Service requests are tracked through a work-order system with an average completion time of 36 hours. Collections for the period were 89.4% of billed charges, with bad debt of 4.8% of gross potential income.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 31 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Operating Performance

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Debt service coverage ratio was 6.89x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Effective gross income for the trailing period was $433,000, representing a 5.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $132,000, representing a 13.7% increase over the prior year. Operating expenses totaled $346,000 or approximately 41.49 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.73% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. Debt service coverage ratio was 6.46x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$334,053	$317,532	$328,592	-$5,461	-1.6%	$11,330.77
5270 Make-Ready / Turnover	$1,136,579	$1,192,163	$1,235,101	$98,523	8.7%	$42,589.70
5280 Landscaping Contract	$1,791,167	$1,708,085	$1,725,942	-$65,225	-3.6%	$59,515.23
5290 Snow Removal	$711,597	$678,617	$723,562	$11,965	1.7%	$24,950.43
5300 Janitorial	$1,370,820	$1,475,600	$1,558,201	$187,381	13.7%	$53,731.07
5310 Pest Control	$1,810,342	$1,770,198	$1,862,503	$52,161	2.9%	$64,224.23
5320 Trash Removal	$1,725,571	$1,800,916	$1,869,061	$143,490	8.3%	$64,450.36
5330 Elevator Contract	$1,218,010	$1,152,757	$1,179,968	-$38,042	-3.1%	$40,688.54
5340 Fire & Life Safety	$389,891	$363,537	$367,021	-$22,869	-5.9%	$12,655.90
5350 Security	$1,796,569	$1,734,214	$1,765,395	-$31,174	-1.7%	$60,875.69
5360 Electricity - Common	$704,408	$695,088	$729,392	$24,984	3.5%	$25,151.44
5370 Gas - Common	$2,149,142	$2,133,676	$2,248,868	$99,726	4.6%	$77,547.16
5380 Water & Sewer	$1,964,071	$2,114,892	$2,151,176	$187,105	9.5%	$74,178.49
5390 Telephone/Internet	$1,424,646	$1,324,660	$1,390,661	-$33,984	-2.4%	$47,953.84
5400 Advertising	$182,978	$178,379	$183,286	$307	0.2%	$6,320.20
5410 Resident Events	$190,995	$191,853	$203,308	$12,313	6.4%	$7,010.63
5420 Office Supplies	$2,030,016	$2,152,072	$2,250,138	$220,122	10.8%	$77,590.98
5430 Legal & Professional	$2,511,168	$2,711,616	$2,887,131	$375,962	15.0%	$99,556.23
5440 Accounting & Audit	$1,236,661	$1,147,879	$1,166,903	-$69,758	-5.6%	$40,238.03
5450 Licenses & Permits	$546,906	$537,110	$552,683	$5,776	1.1%	$19,058.02
5460 Management Fee	$1,687,565	$1,805,380	$1,821,748	$134,183	8.0%	$62,818.89
5470 Property Insurance	$514,409	$510,494	$513,342	-$1,067	-0.2%	$17,701.45
5480 Real Estate Taxes	$508,443	$481,123	$495,788	-$12,655	-2.5%	$17,096.15
5490 Asset Management Fee	$2,194,287	$2,142,278	$2,255,002	$60,716	2.8%	$77,758.70
5500 Replacement Reserves	$1,827,609	$1,826,352	$1,924,062	$96,453	5.3%	$66,346.98
5510 Roof Repairs	$2,456,561	$2,529,940	$2,567,977	$111,416	4.5%	$88,550.92
5520 Parking Lot Repairs	$2,538,571	$2,676,007	$2,844,216	$305,645	12.0%	$98,076.41
5530 Signage	$586,888	$633,656	$651,071	$64,183	10.9%	$22,450.71
5540 Tenant Improvements	$277,874	$262,167	$270,249	-$7,624	-2.7%	$9,318.95
5550 Leasing Commissions	$737,164	$789,031	$837,437	$100,273	13.6%	$28,877.15
5000 Gross Potential Rent	$2,605,258	$2,666,782	$2,717,585	$112,327	4.3%	$93,709.83
5010 Loss to Lease	$2,219,378	$2,110,882	$2,183,298	-$36,080	-1.6%	$75,286.13
5020 Vacancy Loss	$510,544	$544,107	$555,717	$45,173	8.8%	$19,162.65
5030 Concessions	$262,755	$261,541	$269,508	$6,753	2.6%	$9,293.39
5040 Bad Debt	$1,981,747	$2,093,673	$2,147,306	$165,559	8.4%	$74,045.03
5050 Late Fees	$1,448,120	$1,385,672	$1,429,293	-$18,826	-1.3%	$49,285.98
5060 Utility Reimbursements	$363,597	$341,753	$344,626	-$18,971	-5.2%	$11,883.65
5070 Parking Income	$519,526	$530,711	$565,731	$46,206	8.9%	$19,507.98
5080 Application Fees	$258,788	$264,308	$268,364	$9,576	3.7%	$9,253.94
5090 Pet Rent	$1,638,007	$1,753,385	$1,856,535	$218,528	13.3%	$64,018.44
5100 Laundry Income	$1,693,116	$1,722,182	$1,763,440	$70,324	4.2%	$60,808.28

Report generated 06/05/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 10 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $79,000, representing a 8.8% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. Operating expenses totaled $334,000 or approximately 38.16 per square foot, with real estate taxes representing the largest line item.

Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 3 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $231,000, representing a 10.5% increase over the prior year. Debt service coverage ratio was 6.73x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.8% of billed charges, with bad debt of 6.1% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members.

The facility is a purpose-built data center with 7 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Service requests are tracked through a work-order system with an average completion time of 9 hours. Collections for the period were 92.8% of billed charges, with bad debt of 7.2% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day.

Valuation Discussion

The facility is a purpose-built data center with 40 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $36,000, representing a 5.0% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $290,000, representing a 7.1% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

Leasing and Marketing

Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. The facility is a purpose-built data center with 47 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 35 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Collections for the period were 93.4% of billed charges, with bad debt of 3.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day.

Operating Performance

Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.21x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $212,000, representing a 4.3% increase over the prior year. The going-in capitalization rate of 5.62% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses.

Management Commentary

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5140 Insurance Reimbursements	$1,781,780	$1,725,620	$1,749,538	-$32,242	-1.8%	$60,328.91
5150 Percentage Rent	$2,394,108	$2,576,350	$2,710,024	$315,916	13.2%	$93,449.10
5160 Misc. Income	$1,473,874	$1,424,442	$1,451,458	-$22,416	-1.5%	$50,050.26
5170 Payroll - Management	$496,647	$529,621	$543,484	$46,837	9.4%	$18,740.81
5180 Payroll - Leasing	$1,421,545	$1,470,790	$1,472,624	$51,078	3.6%	$50,780.13
5190 Payroll - Maintenance	$2,289,267	$2,279,307	$2,414,112	$124,845	5.5%	$83,245.26
5200 Payroll Taxes & Benefits	$521,914	$534,261	$565,985	$44,071	8.4%	$19,516.73
5210 Repairs - Plumbing	$1,039,253	$1,040,157	$1,112,008	$72,755	7.0%	$38,345.11
5220 Repairs - HVAC	$2,592,020	$2,568,912	$2,602,869	$10,849	0.4%	$89,754.11
5230 Repairs - Electrical	$874,038	$940,882	$959,428	$85,390	9.8%	$33,083.73
5240 Repairs - Appliances	$2,536,487	$2,402,622	$2,452,023	-$84,464	-3.3%	$84,552.51
5250 Painting & Decorating	$1,437,038	$1,390,471	$1,436,232	-$806	-0.1%	$49,525.25
5260 Flooring	$1,883,892	$1,886,724	$2,017,342	$133,450	7.1%	$69,563.53
5270 Make-Ready / Turnover	$1,893,160	$1,770,066	$1,867,492	-$25,668	-1.4%	$64,396.27
5280 Landscaping Contract	$829,554	$792,247	$821,527	-$8,027	-1.0%	$28,328.52
5290 Snow Removal	$1,584,797	$1,597,028	$1,691,694	$106,897	6.7%	$58,334.26
5300 Janitorial	$1,617,975	$1,622,947	$1,731,071	$113,097	7.0%	$59,692.11
5310 Pest Control	$1,353,171	$1,390,466	$1,446,915	$93,744	6.9%	$49,893.64
5320 Trash Removal	$1,387,593	$1,356,348	$1,444,805	$57,212	4.1%	$49,820.85
5330 Elevator Contract	$1,540,256	$1,443,701	$1,444,959	-$95,297	-6.2%	$49,826.19
5340 Fire & Life Safety	$386,380	$403,158	$411,316	$24,936	6.5%	$14,183.31
5350 Security	$2,463,470	$2,642,654	$2,694,655	$231,185	9.4%	$92,919.14
5360 Electricity - Common	$2,043,752	$1,892,794	$1,924,210	-$119,543	-5.8%	$66,352.06
5370 Gas - Common	$1,287,350	$1,303,964	$1,375,645	$88,296	6.9%	$47,436.04
5380 Water & Sewer	$588,829	$630,921	$649,808	$60,980	10.4%	$22,407.19
5390 Telephone/Internet	$1,948,803	$1,989,462	$2,124,221	$175,417	9.0%	$73,248.98
5400 Advertising	$1,958,896	$1,843,021	$1,847,170	-$111,726	-5.7%	$63,695.52
5410 Resident Events	$351,129	$368,059	$382,213	$31,085	8.9%	$13,179.77
5420 Office Supplies	$497,834	$486,434	$496,622	-$1,211	-0.2%	$17,124.91
5430 Legal & Professional	$852,192	$908,849	$936,524	$84,332	9.9%	$32,293.94
5440 Accounting & Audit	$594,020	$599,646	$601,634	$7,615	1.3%	$20,746.01
5450 Licenses & Permits	$2,083,655	$2,042,723	$2,159,350	$75,695	3.6%	$74,460.35
5460 Management Fee	$1,950,376	$1,841,660	$1,882,668	-$67,708	-3.5%	$64,919.60
5470 Property Insurance	$982,977	$921,509	$922,338	-$60,639	-6.2%	$31,804.77
5480 Real Estate Taxes	$2,187,549	$2,297,366	$2,440,014	$252,465	11.5%	$84,138.43
5490 Asset Management Fee	$1,757,311	$1,806,245	$1,846,224	$88,912	5.1%	$63,662.89
5500 Replacement Reserves	$2,020,361	$1,931,877	$1,968,963	-$51,398	-2.5%	$67,895.28
5510 Roof Repairs	$1,592,689	$1,565,665	$1,669,756	$77,067	4.8%	$57,577.79
5520 Parking Lot Repairs	$595,752	$636,527	$670,550	$74,798	12.6%	$23,122.42
5530 Signage	$1,367,018	$1,417,532	$1,488,267	$121,249	8.9%	$51,319.55
5540 Tenant Improvements	$1,160,381	$1,091,713	$1,143,770	-$16,611	-1.4%	$39,440.34
5550 Leasing Commissions	$1,751,674	$1,742,485	$1,830,299	$78,625	4.5%	$63,113.77

Report generated 06/05/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 35 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $117,000, representing a 7.7% increase over the prior year. Operating expenses totaled $12,000 or approximately 21.41 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Debt service coverage ratio was 7.98x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

The facility is a purpose-built data center with 16 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Carrier-neutral meet-me room supports multiple fiber providers.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 96.6% of billed charges, with bad debt of 7.0% of gross potential income. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Valuation Discussion

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption. Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 38 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.72x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period.

Property Operations

Collections for the period were 96.5% of billed charges, with bad debt of 3.7% of gross potential income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Collections for the period were 93.6% of billed charges, with bad debt of 4.6% of gross potential income. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers.

Operating Performance

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.94x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Effective gross income for the trailing period was $86,000, representing a 12.4% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 20 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5480 Real Estate Taxes	$2,548,790	$2,740,755	$2,749,120	$200,331	7.9%	$94,797.25
5490 Asset Management Fee	$1,998,950	$1,965,235	$2,090,730	$91,779	4.6%	$72,094.13
5500 Replacement Reserves	$1,952,442	$1,940,614	$1,996,155	$43,713	2.2%	$68,832.92
5510 Roof Repairs	$1,885,421	$2,034,324	$2,167,478	$282,056	15.0%	$74,740.61
5520 Parking Lot Repairs	$1,363,385	$1,284,213	$1,302,648	-$60,737	-4.5%	$44,918.90
5530 Signage	$2,564,050	$2,665,108	$2,709,734	$145,684	5.7%	$93,439.09
5540 Tenant Improvements	$147,979	$141,930	$147,666	-$313	-0.2%	$5,091.92
5550 Leasing Commissions	$855,890	$889,999	$915,827	$59,938	7.0%	$31,580.26
5000 Gross Potential Rent	$633,941	$673,615	$719,048	$85,108	13.4%	$24,794.77
5010 Loss to Lease	$2,090,255	$2,045,711	$2,143,360	$53,105	2.5%	$73,908.96
5020 Vacancy Loss	$1,764,466	$1,758,212	$1,784,264	$19,798	1.1%	$61,526.34
5030 Concessions	$867,990	$931,929	$949,647	$81,656	9.4%	$32,746.44
5040 Bad Debt	$2,095,616	$2,249,512	$2,311,010	$215,394	10.3%	$79,689.99
5050 Late Fees	$1,284,063	$1,309,124	$1,362,295	$78,231	6.1%	$46,975.69
5060 Utility Reimbursements	$118,763	$111,520	$111,845	-$6,919	-5.8%	$3,856.71
5070 Parking Income	$1,286,177	$1,311,765	$1,347,726	$61,549	4.8%	$46,473.30
5080 Application Fees	$830,477	$893,479	$903,988	$73,511	8.9%	$31,172.00
5090 Pet Rent	$2,022,815	$1,982,497	$2,020,723	-$2,092	-0.1%	$69,680.12
5100 Laundry Income	$1,973,609	$1,920,493	$1,982,611	$9,002	0.5%	$68,365.91
5110 Cable/Internet Revenue	$1,588,433	$1,601,458	$1,703,303	$114,870	7.2%	$58,734.60
5120 CAM Reimbursements	$719,385	$776,298	$824,948	$105,563	14.7%	$28,446.47
5130 Tax Reimbursements	$1,506,785	$1,569,304	$1,652,509	$145,724	9.7%	$56,983.08
5140 Insurance Reimbursements	$1,621,588	$1,667,767	$1,745,343	$123,756	7.6%	$60,184.26
5150 Percentage Rent	$353,134	$379,563	$397,507	$44,373	12.6%	$13,707.15
5160 Misc. Income	$1,996,488	$2,139,802	$2,261,669	$265,181	13.3%	$77,988.60
5170 Payroll - Management	$1,147,210	$1,179,780	$1,245,140	$97,930	8.5%	$42,935.86
5180 Payroll - Leasing	$2,257,910	$2,165,864	$2,308,152	$50,242	2.2%	$79,591.46
5190 Payroll - Maintenance	$1,630,270	$1,606,429	$1,701,287	$71,018	4.4%	$58,665.08
5200 Payroll Taxes & Benefits	$2,515,382	$2,323,662	$2,356,382	-$159,000	-6.3%	$81,254.55
5210 Repairs - Plumbing	$1,566,313	$1,527,184	$1,565,280	-$1,033	-0.1%	$53,975.18
5220 Repairs - HVAC	$1,025,701	$1,096,837	$1,097,043	$71,343	7.0%	$37,829.08
5230 Repairs - Electrical	$1,786,218	$1,797,232	$1,887,364	$101,146	5.7%	$65,081.51
5240 Repairs - Appliances	$194,107	$198,349	$207,748	$13,641	7.0%	$7,163.73
5250 Painting & Decorating	$2,256,398	$2,431,692	$2,476,326	$219,928	9.7%	$85,390.55
5260 Flooring	$1,317,005	$1,415,443	$1,504,698	$187,693	14.3%	$51,886.14
5270 Make-Ready / Turnover	$994,188	$1,027,432	$1,078,122	$83,934	8.4%	$37,176.61
5280 Landscaping Contract	$1,423,266	$1,359,929	$1,365,687	-$57,579	-4.0%	$47,092.66
5290 Snow Removal	$1,480,352	$1,495,980	$1,580,254	$99,902	6.7%	$54,491.51
5300 Janitorial	$1,359,618	$1,339,618	$1,415,967	$56,350	4.1%	$48,826.46
5310 Pest Control	$925,110	$973,844	$1,027,529	$102,419	11.1%	$35,432.05

Report generated 06/05/2025. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Financial Analysis

Operating expenses totaled $366,000 or approximately 20.04 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption. The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers.

The facility is a purpose-built data center with 10 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $44,000, representing a 11.3% increase over the prior year. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Carrier-neutral meet-me room supports multiple fiber providers.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Collections for the period were 89.6% of billed charges, with bad debt of 7.3% of gross potential income. Carrier-neutral meet-me room supports multiple fiber providers. Service requests are tracked through a work-order system with an average completion time of 29 hours.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only